2. What is the primary objective of investment evaluation?

A. To maximize sales volumes
B. To allocate resources only to projects that create value
C. To minimize taxes paid by the company
D. To increase market share and profitability

4. Which statement best describes the Net Present Value (NPV) criterion?

A. It measures how quickly an investment is repaid
B. It measures the value created by an investment after considering the time value of money
C. It measures the accounting profitability of an investment
D. It ignores indirect effects on the firm

5. Why should sunk and non-evitable costs be excluded from investment analysis?

A. Because they are uncertain
B. Because they have already been incurred and cannot be changed by the decision
C. Because they are always non-monetary
D. Because they are financed through debt

1. Why is the individual demand curve generally downward sloping?

A. Because firms always reduce prices over time due to competition
B. Because the assumption is to consider consumers having unlimited budgets
C. Because marginal utility decreases as consumption increases
D. Because production costs increase

2. Which factor would most likely increase the demand for a product?

A. A decrease in consumer income for a different good
B. An increase in the price of a substitute good
C. An increase in the price of a complementary good
D. A decrease in consumer preferences for the product

3. What is consumer surplus?

A. The difference between revenues and costs
B. The maximum profit earned by a producer

C. The difference between a consumer's willingness to pay and the market price
D. The difference between demand and supply

4. Why are goods such as gasoline often characterized by relatively inelastic demand?

A. They have many close substitutes
B. Consumers purchase them only occasionally
C. Consumers find it difficult to replace them with alternatives
D. Their prices never change

5. What is a key characteristic of goods affected by network externalities?

A. Their value decreases as more people use them
B. Their value is independent of the number of users
C. Their value tends to increase as the number of users grows
D. They are always inferior goods

2. In the short run, why may a firm continue producing even if it is not covering total costs?

A. Because fixed costs can be recovered immediately
B. Because managers are required to produce by law
C. Because covering variable costs may still be preferable to shutting down
D. Because profits are guaranteed in the future

3. What happens when market price is above the equilibrium price?

A. Excess demand emerges and prices rise further
B. Excess supply emerges and competitive pressures push prices downward
C. Firms stop producing immediately
D. Consumers increase purchases until shortages appear

4. Why do economic profits tend to disappear in the long run under perfect competition?

A. Because firms collude to reduce prices
B. Because governments regulate all prices

C. Because entry of new firms increases competition until profits are competed away
D. Because consumers stop purchasing the product

5. Which characteristic is essential for a perfectly competitive market?

A. Significant product differentiation
B. A small number of dominant firms
C. Price-setting power by individual firms
D. Free entry and exit of firms

2. Which situation is most likely to generate highly elastic demand?

A. A life-saving medicine with no alternatives
B. A basic utility service such as water
C. A branded product with many close substitutes
D. A patented technology unavailable elsewhere

3. For a normal good, what is the expected effect of an increase in consumer income?

A. Demand decreases
B. Demand remains unchanged
C. Demand increases
D. Demand becomes perfectly elastic